

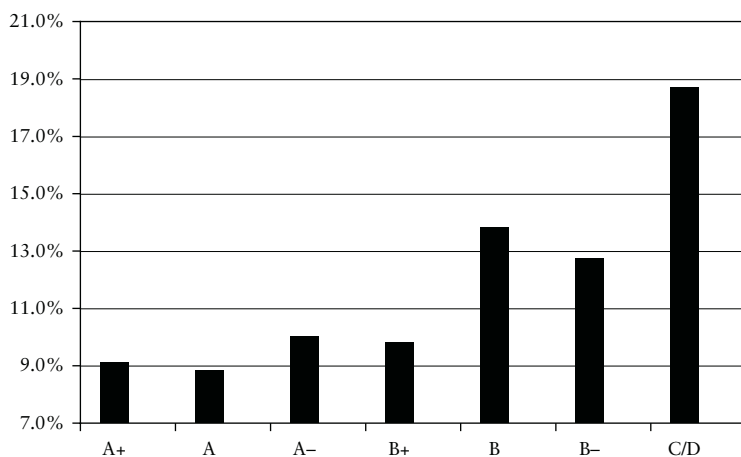


FIGURE 7.3 Comparison of Standard and Poor's Stock Ratings and Returns (1986 to 1994)

Source: Eyquem Investment Management LLC and Aswath Damodaran, *Value Investing: Investing for Grown Ups?* (April 14, 2012).

relation to the chart that “the higher returns for lower rated companies may well reflect the higher perceived risk in these companies, but it indicates that investors who bought the highest ranked stocks, expecting to earn higher returns, would have been sorely disappointed.”⁶²

What these studies demonstrate is that mean reversion is a pervasive phenomenon, and one that we don't intuitively recognize. Our untrained instinct is to pursue the *glamorous* stock, the *high-growth* stock, the *story* stock, the excellent stock, the admired stock, the A+ stock, or even the profitable net net, but study after study shows that this instinct leads us to underperform. Buying well-run companies with good businesses seems to make so much sense. Buying well-run companies with good businesses at bargain prices seems to make even more sense. The research shows, however, that the better investment—rather than the better company—is the *value* stock, the scorned, the unexcellent, the Ds, the loss-making net nets. And the better value stock, according to Lakonishok, Shleifer, and Vishny's research, is the *low- or no-growth* value stock, what they describe as “contrarian value,” and what I regard as deep value; the ugliest of the ugly. What is clear is that value investing in general, and deep value investing in particular, is exceedingly behaviorally difficult. It is counterintuitive and against instinct, which is why many investors shy away from it. To succeed as deep value investors, we need to overcome our behavioral biases. If we are subject to